

Finance technical question bank

FREE TEMPLATE

Study order: Accounting (the three statements) → Valuation → Enterprise value vs. equity value
→ M&A → LBO

Say answers out loud, work on paper, and use AI to close gaps. If you can't explain it to a friend, you don't know it yet.

Practice questions (say every answer out loud)

- ☐ Walk me through the three financial statements.
- ☐ How are the three statements connected?
- ☐ If depreciation goes up by \$10, walk me through the three statements (assume a 25% tax rate).
- ☐ What's the difference between cash and accrual accounting?
- ☐ What is working capital, and why does it matter?
- ☐ What are the main ways to value a company?
- ☐ Walk me through a discounted cash flow (DCF) analysis.
- ☐ What is WACC and how do you calculate it?
- ☐ Why would you use comparable companies versus precedent transactions?
- ☐ What's the difference between enterprise value and equity value?
- ☐ Walk me from equity value to enterprise value.
- ☐ Why might a company buy another company?
- ☐ What makes a deal accretive or dilutive?
- ☐ What is a leveraged buyout, and why does debt increase returns?
- ☐ What makes a company a good LBO candidate?
- ☐ Pitch me a stock (or a company you follow).